PROPERTY CATASTROPHE PROGRAM · 1/1/2027 RENEWAL

Northwind Mutual

Raise the retention to $50M and the program costs 8% less, with the 1-in-200 protection unchanged.

A $50M retention saves $3.7M of ceded premium.

Northwind's surplus grew 22%, so it can now keep the first $50M of a catastrophe.

Reinsurers charge most for that bottom layer.

- Ceded premium falls from $46.0M to $42.3M.
- The 1-in-200 hurricane stays fully covered.
- We need your approval by November 20.

This renewal turns on four questions.

01 Where the reinsurance market is heading

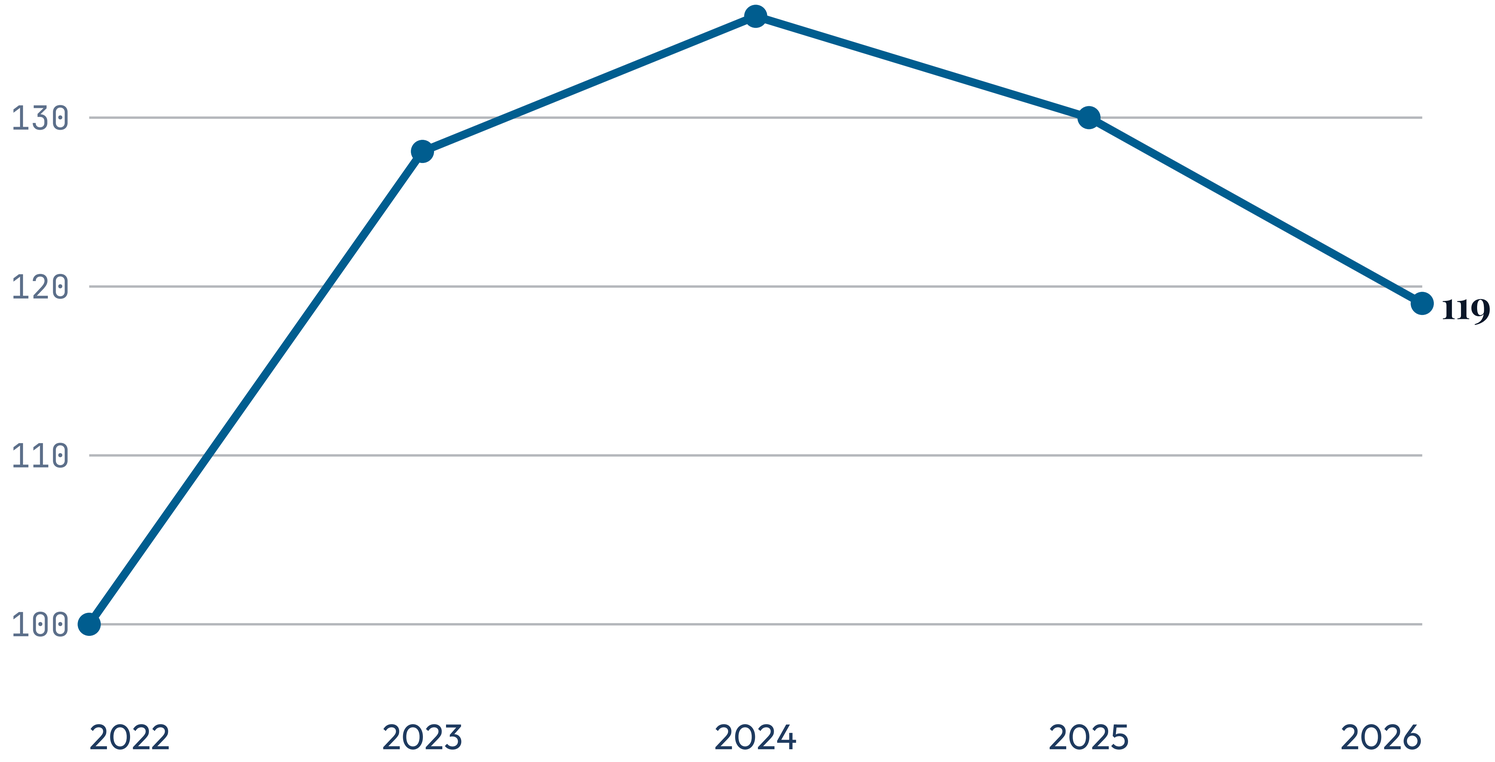
02 How last year's losses developed

03 Which program structure fits Northwind now

04 What we need from you, and by when

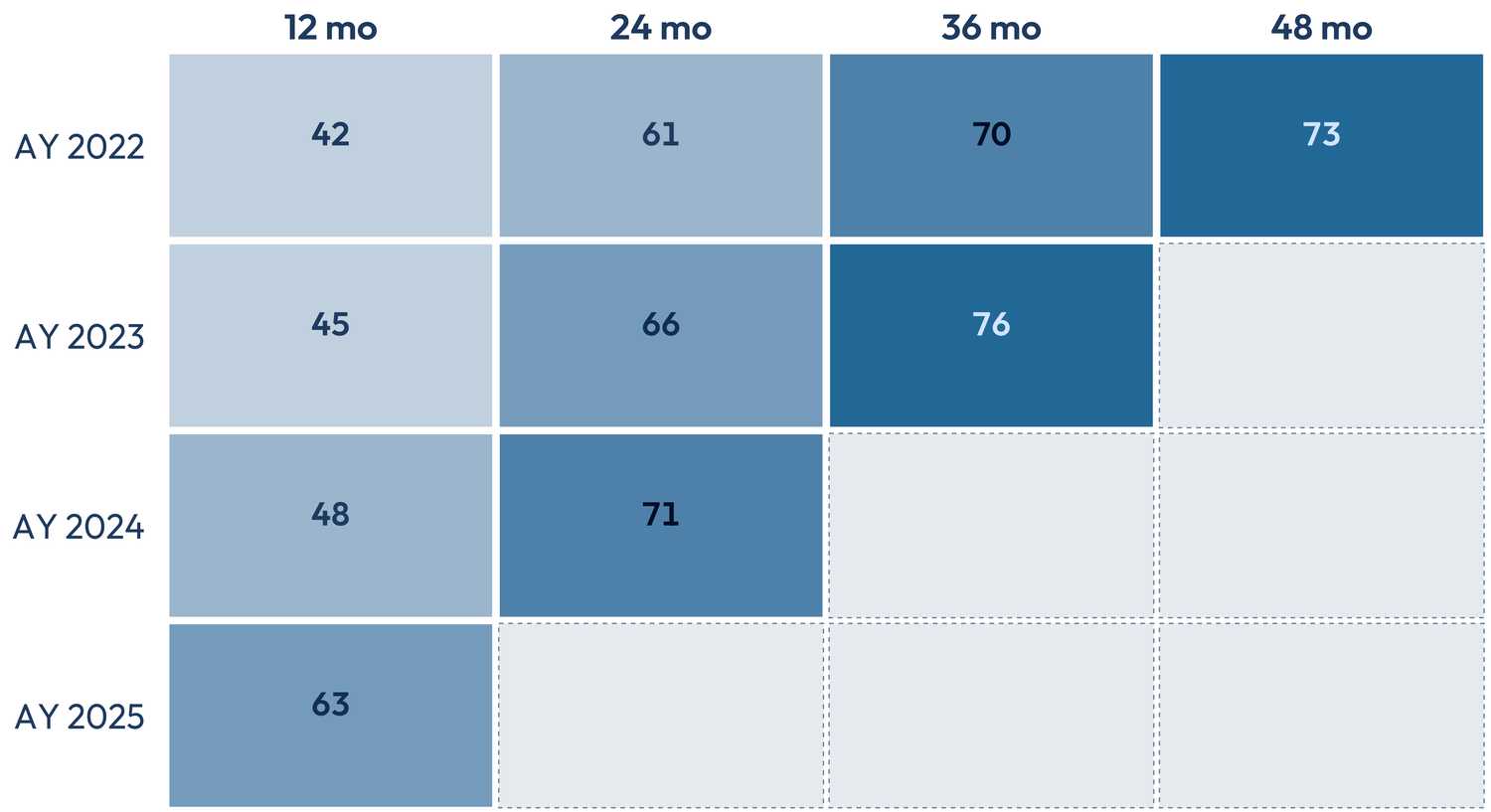
CAT RATES · 2022 = 100

Property catastrophe rates have fallen two years running.



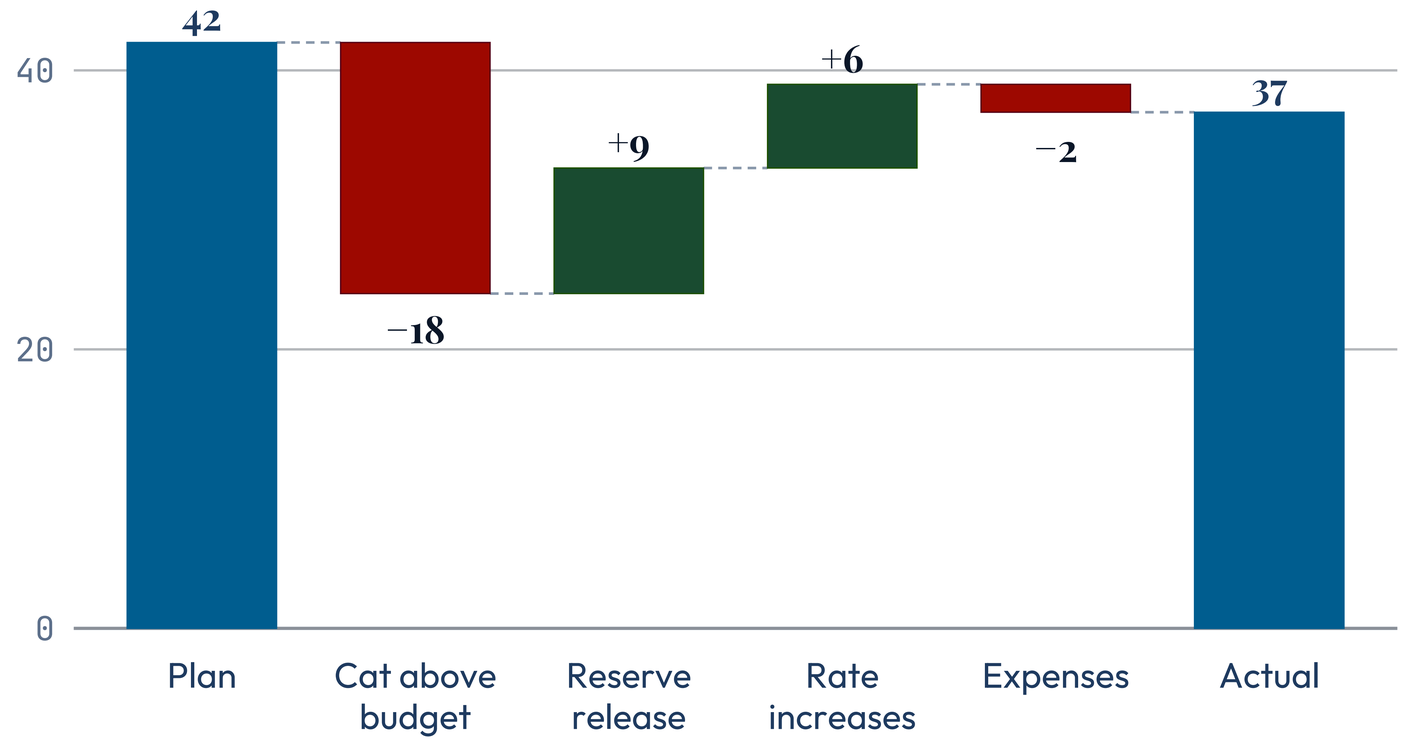
PAID LOSSES · USD M

2025 losses are developing faster than any earlier year.



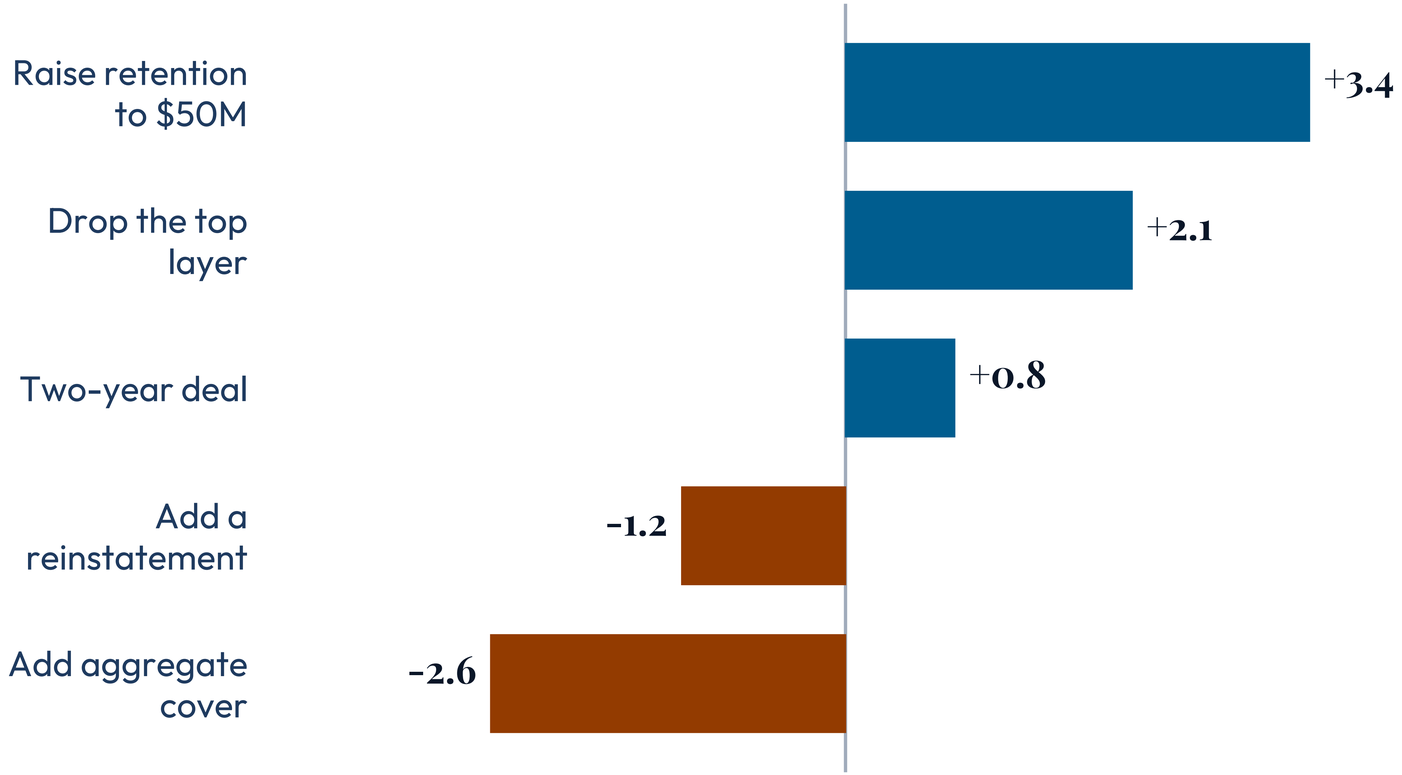
2026 UNDERWRITING RESULT · USD M

Cat losses cost $18M against plan; pricing won back $6M.



PREMIUM SAVED · USD M

Raising the retention saves more premium than any other lever.

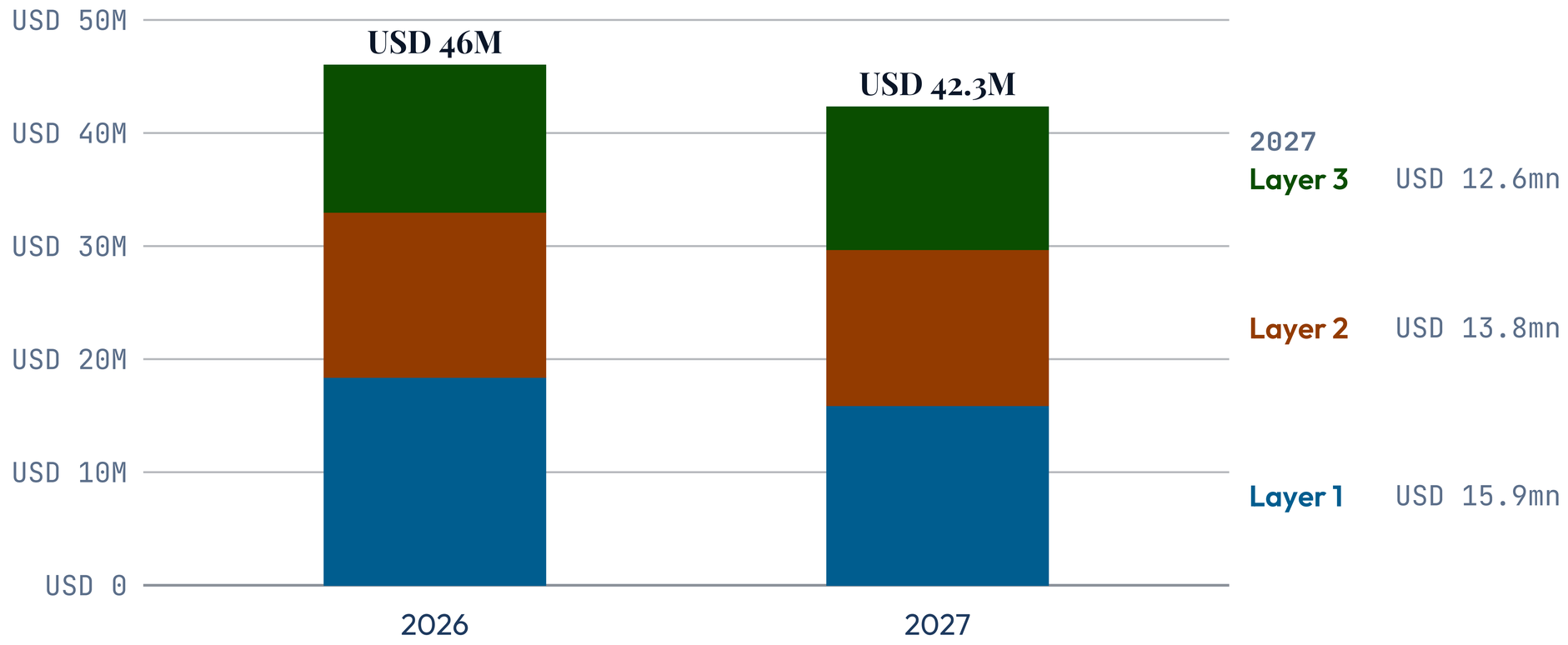


Only a higher retention cuts premium and keeps every cover.

WHAT NORTHWIND NEEDS	RENEW AS IS	RAISE RETENTION	ADD AGGREGATE COVER
Stays inside capital appetite	✓	✓	✓
Cuts ceded premium	✗	✓	✗
Covers the 1-in-200 hurricane	✓	✓	✓
Keeps earnings steady in a busy year	✓	−	✓

CEDED PREMIUM BY LAYER

Every layer costs less in 2027; the bottom layer saves most.



The new program keeps every risk limit inside appetite.

$410M

1-in-200 hurricane loss

LIMIT $450M ✓ ON PLAN BOARD

4.1%

Retention share of surplus

LIMIT 5.0% ✓ ON PLAN BOARD

A+

Weakest panel rating

FLOOR A- ✓ ON PLAN AUDIT

SECURITY PANEL · 2027

Six reinsurers rated A or better carry the whole program.

Acme

Acme Re

Lead · 30%

Globex

Globex Re

20%

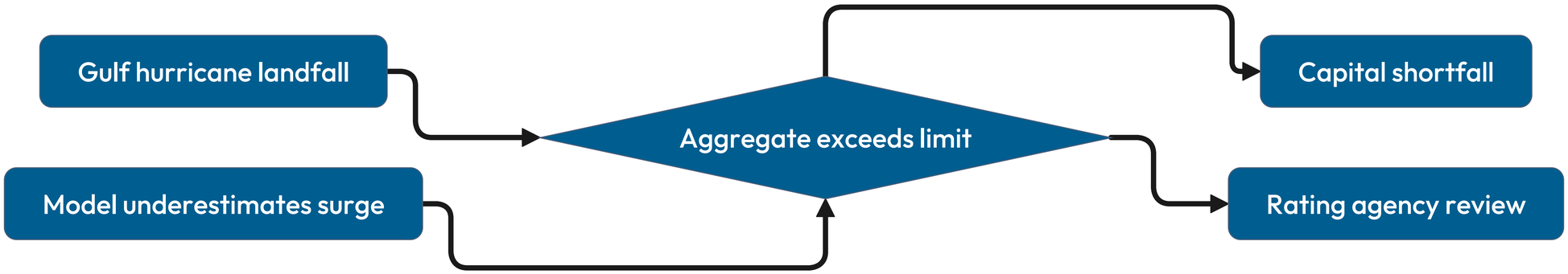
Vantage

Umbra

Meridian

HELIOS

One Gulf hurricane is the event that could breach the program.



Raise the retention to $50M and renew the rest as is.

RAISE RETENTION TO $50M

Saves $3.7M a year while the 1-in-200 hurricane stays fully covered.

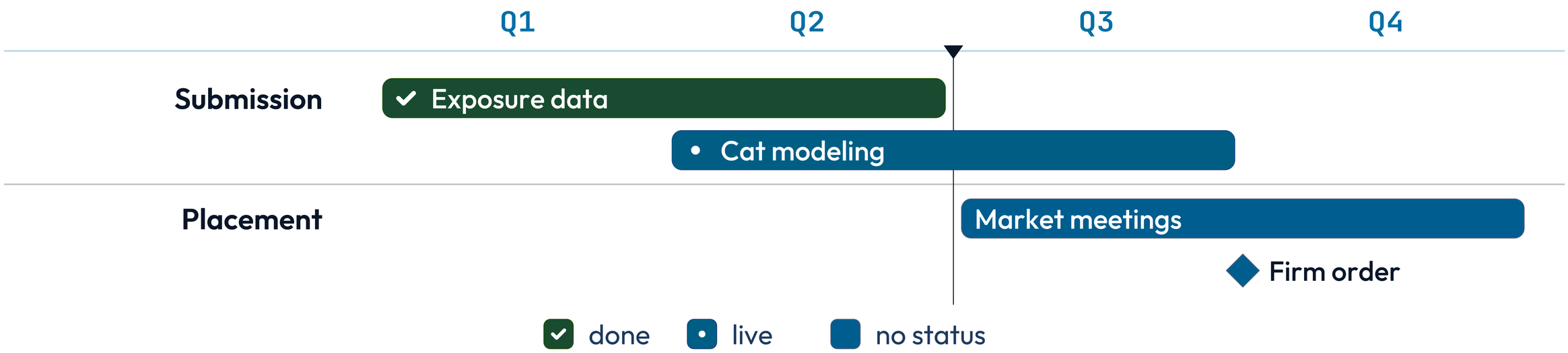
RENEW AS IS

Pays the highest price in the market for a layer Northwind can now afford to keep.

ADD AGGREGATE COVER

Costs $2.6M more for protection against a run of small events Northwind has never had.

A November approval places the program before the 1/1 rush.



YOUR HALCYON RE TEAM

One broker owns each part of the renewal.



Ada Mensah

PLACEMENT LEAD

Runs the placement.



Marcus Lee

CAT ANALYTICS

Owns the hurricane model.

PS

Priya Shah

CLIENT SERVICE

Keeps the timetable and board papers.

These are the three questions your board will ask.

01 **Why keep more risk?**

A $50M loss is 4.1% of surplus.

02 **What if two hurricanes hit?**

A reinstatement restores the full limit.

03 **Can we lower the retention next year?**

Yes. Every renewal resets the structure.

HALCYON RE · NORTHWIND MUTUAL 2027 RENEWAL

Approve the $50M retention by November 20.